

of Investment Tools. But we did realise that there are so many readers and freedom seekers who continue to mix insurance with investments. Insurance (especially Life Insurance) is a long term agreement with the insurer, and once you get into it, it is painful to come out of the agreement. It is therefore important to think of insurance as a separate entity from investment, and hence the need for this section as a separate one. Dealing with insurance is a mindset shift, and a very important one. So many of the freedom seekers have no idea of the negative impact of taking a few wrong insurance policies.

Other than insuring your life, you also must insure yourself against health related risks to you and your family. With lifestyle diseases on the rise, Health Insurance is gaining the popularity it deserves. Still, most freedom seekers leave the health part to the almighty. It is not costly to buy health insurance when you are fit. It is a great way to protect against the most natural, though harsh, reality for a human being – i.e. your health is going to decay with age.

We also specifically cover other types of insurances in this section which can be your potential wealth stealers like house insurance against thefts and natural calamities, vehicle insurance as well as travel insurance.

For a common man, these 5 side protection should be enough to protect one's freedom nest egg from unforeseen surprises of life. There are other specific insurances that one may seek, which is beyond the scope of this book. Also, remember that as your wealth grows along with your age, you may have to change your allocation towards these five insurances. As an example, as you approach financial freedom, your family is no more dependent on your regular source of 'active' income and can rely on your 'passive' income being generated by the corpus you have accumulated and nurtured over time. In that case, you can reduce or even eliminate your life insurance cover, while you may want to increase your health insurance cover considering that you have just got older and health inflation usually runs higher than general inflation in this country. Monitoring and maintaining your 'Insurance Portfolio' also, therefore, becomes as important as your 'Investment Portfolio'

Let us have a look at all these 5 insurance covers that insure your wealth, thus allowing you to use the way it was intend to, i.e. to fund your freedom.